



Absa Bank Kenya PLC

The Board of Directors of Absa Bank Kenya PLC is pleased to announce the unaudited group results for the period ended 30 June 2022.

	Bank			Group				
	June 2021	December 2021	March 2022	June 2022	June 2021	December 2021	March 2022	June 2022
	Shs '000 Unaudited	Shs '000 Audited	Shs '000 Unaudited	Shs '000 Unaudited	Shs '000 Unaudited	Shs '000 Audited	Shs '000 Unaudited	Shs '000 Unaudited
I Statement of financial position								
A Assets								
1 Cash balances (both local and foreign)	5,425,405	7,730,114	6,893,855	6,752,477	5,425,405	7,730,114	6,893,855	6,752,477
2 Balances due from Central Bank of Kenya	16,372,581	13,279,265	12,715,668	13,044,351	16,372,581	13,279,265	12,715,668	13,044,351
3 Kenya Government and other securities held for dealing purposes	44,206,563	44,195,668	48,920,541	31,076,657	44,206,563	44,195,668	48,920,541	31,076,657
4 Financial assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5 Investment securities:	-	-	-	-	-	-	-	-
a) Held to maturity:	-	-	-	-	-	-	-	-
a. Kenya Government securities	-	-	-	-	-	-	-	-
b. Other securities	-	-	-	-	-	-	-	-
b) Fair value through other comprehensive income (FVOCI)	76,636,504	87,972,113	87,419,688	89,286,448	77,064,445	88,380,436	87,810,716	89,679,257
a. Kenya Government securities	76,636,504	87,972,113	87,419,688	89,286,448	77,064,445	88,380,436	87,810,716	89,679,257
b. Other securities	-	-	-	-	-	-	-	-
6 Deposits and balances due from local banking Institutions	1,736,301	1,113,150	-	-	1,736,301	1,113,150	-	-
7 Deposits and balances due from banking Institutions abroad	3,394,934	1,894,090	6,528,744	3,390,256	3,394,934	1,894,090	6,528,744	3,390,256
8 Tax recoverable	-	-	-	623,550	-	-	-	812,692
9 Loans and advances to customers (net)	218,872,997	234,234,076	242,672,126	261,535,623	218,872,997	234,234,076	242,672,126	261,535,623
10 Balances due from banking institutions in the group	12,856,186	19,057,979	14,327,127	18,023,319	12,856,186	19,057,979	14,327,127	18,023,320
11 Investment in associates	-	-	-	-	-	-	-	-
12 Investment in subsidiary companies	462,751	462,751	462,751	462,751	-	-	-	-
13 Investment in joint ventures	-	-	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-	-	-
15 Property and equipment	2,593,536	2,416,109	2,347,411	2,224,779	2,594,893	2,416,200	2,347,487	2,224,840
24 Deposits and balances due to Banking institutions (Local)	34,236	33,173	33,974	33,710	34,236	33,173	33,974	33,710
17 Intangible assets	311,900	417,271	444,612	431,040	377,333	480,728	508,327	491,966
18 Deferred tax	3,824,036	4,677,328	4,806,292	5,601,315	3,883,601	4,737,959	4,863,381	5,667,144
19 Retirement benefit asset	65,542	-	-	-	65,542	-	-	-
20 Other assets	11,097,398	11,263,131	11,145,595	12,687,549	11,266,979	11,136,765	10,877,694	12,556,052
21 Total asset	397,890,870	428,746,218	438,718,384	445,173,825	398,151,996	428,689,603	438,499,640	445,288,345
B Liabilities								
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23 Customers' deposits	265,663,097	270,737,198	271,759,616	284,012,134	263,943,909	268,716,653	269,537,302	281,668,662
24 Deposits and balances due to Banking institutions (Local)	5,892,426	4,301,166	4,010,800	6,211,655	5,892,426	4,301,166	4,010,800	6,211,655
25 Deposits and balances due to Banking institutions (Foreign)	791,688	507,750	274,416	558,425	791,688	507,750	274,416	558,425
26 Other money market deposits	-	-	-	-	-	-	-	-
27 Borrowed funds	-	-	-	-	-	-	-	-
28 Balances due to banking institutions in the group	55,976,238	75,647,688	82,112,790	77,954,402	55,976,238	75,647,933	82,112,762	77,954,402
29 Tax payable	1,104,821	2,749,546	3,973,125	-	958,486	2,520,991	3,834,895	-
30 Dividends payable	-	-	-	1,086,307	-	-	-	1,086,307
31 Deferred tax liability	-	-	-	-	-	-	-	-
32 Retirement benefit liability	-	363,000	234,706	106,413	-	363,000	234,706	106,413
33 Other liabilities	18,288,981	20,087,231	19,491,042	21,447,035	18,622,083	20,184,718	19,344,722	21,462,745
34 Total liabilities	347,717,251	374,393,579	381,856,495	391,376,371	346,184,830	372,242,211	379,349,603	389,048,609
C Shareholders' funds								
35 Paid up/Assigned capital	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768
36 Share premium/(discount)	-	-	-	-	-	-	-	-
37 Revaluation reserves	935,123	396,310	108,403	(559,289)	945,821	393,663	101,086	(573,238)
38 Retained earnings/(Accumulated losses)	46,312,702	45,154,608	47,910,112	51,469,518	48,095,551	47,252,008	50,205,577	53,925,749
39 Statutory loan loss reserve	-	-	-	-	-	-	-	-
40 Other reserves	210,026	111,263	152,916	171,457	210,026	111,263	152,916	171,457
41 Proposed dividend	-	5,974,690	5,974,690	-	-	5,974,690	5,974,690	-
42 Capital grants	-	-	-	-	-	-	-	-
43 Total shareholders' funds	50,173,619	54,352,639	56,861,889	53,797,454	51,967,166	56,447,392	59,150,037	56,239,736
44 Minority interest	-	-	-	-	-	-	-	-
45 Total liabilities and total shareholders funds	397,890,870	428,746,218	438,718,384	445,173,825	398,151,996	428,689,603	438,499,640	445,288,345
II Statement of comprehensive income								
1.0 Interest income								
1.1 Loans and advances to customers	11,013,403	23,095,489	6,325,719	13,347,220	11,013,403	23,095,489	6,325,719	13,347,220
1.2 Government securities	4,072,230	8,246,019	2,201,131	4,525,721	4,096,807	8,296,579	2,213,692	4,550,961
1.3 Deposits and placements with banking institutions	80,173	646,242	241,800	528,356	80,173	646,242	241,800	528,356
1.4 Other interest income	-	-	-	-	-	-	-	-
1.5 Total interest income	15,165,806	31,987,750	8,768,650	18,401,297	15,190,383	32,038,310	8,781,211	18,426,537
2.0 Interest expenses								
2.1 Customer deposits	2,979,974	6,094,471	1,637,143	3,363,787	2,937,460	5,998,294	1,608,271	3,303,130
2.2 Deposits and placements with banking institutions	189,506	653,160	263,495	640,246	189,506	653,160	263,495	640,246
2.3 Other interest expenses	67,613	128,541	27,790	53,415	68,327	129,944	27,790	53,415
2.4 Total interest expenses	3,237,093	6,876,172	1,928,428	4,057,448	3,195,293	6,781,398	1,899,556	3,996,791
3.0 Net interest income	11,928,713	25,111,578	6,840,222	14,343,849	11,995,090	25,256,912	6,881,655	14,429,746
4.0 Non - interest income								
4.1 Fees and commissions income on loans & advances	877,574	1,731,947	314,369	701,822	877,574	1,731,947	314,369	701,822
4.2 Other fees and commissions	1,749,707	3,363,198	834,061	1,741,920	2,238,879	4,423,785	1,150,900	2,339,465
4.3 Foreign exchange trading income	2,072,787	4,161,703	1,225,291	2,988,752	2,072,787	4,161,698	1,225,290	2,988,751
4.4 Dividend income	-	-	-	-	-	-	-	-
4.5 Other income	663,347	1,362,065	331,445	454,509	655,865	1,347,100	327,703	447,038
4.6 Total non-interest income	5,363,416	10,618,913	2,705,166	5,887,003	5,845,105	11,664,530	3,018,262	6,477,076
5.0 Total operating income	17,292,129	35,730,491	9,545,388	20,230,852	17,840,195	36,921,442	9,899,917	20,906,822
6.0 Operating expenses								
6.1 Loan loss provision	1,941,456	4,708,276	1,181,037	2,955,706	1,942,104	4,709,210	1,393,890	2,955,674
6.2 Staff costs	4,267,509	9,147,632	2,200,993	4,684,179	4,414,972	9,434,639	2,301,777	4,807,075
6.3 Directors emoluments	81,210	148,564	47,271	114,076	85,655	156,893	51,086	118,178
6.4 Rental charge	45,905	94,875	29,099	35,316	45,905	94,875	8,473	35,316
6.5 Depreciation on property and equipment	404,670	768,840	175,798	359,172	406,991	768,916	212,559	359,204
6.6 Amortisation charges	53,610	119,404	28,723	60,382	59,576	131,335	28,032	65,961
6.7 Other operating expenses	2,919,924	6,018,044	1,866,903	3,423,955	2,939,744	6,076,620	1,411,906	3,452,313
6.8 Total operating expenses	9,714,284	21,005,635	5,529,768	11,632,786	9,894,947	21,372,488	5,407,723	11,793,721
7.0 Profit before tax and exceptional items	7,577,845	14,724,856	4,015,620	8,598,066	7,945,248	15,548,954	4,492,194	9,113,101
8.0 Exceptional items	-	-	-	-	-	-	-	-
9.0 Profit after exceptional items								
10 Current tax	(2,889,465)	(5,547,509)	(1,223,579)	(3,136,231)	(3,010,666)	(5,803,620)	(1,313,904)	(3,303,596)
11 Deferred tax	624,648	1,119,868	(36,535)	473,376	637,333	1,124,635	(31,470)	484,336
12 Profit after tax and exceptional items	5,313,028	10,297,215	2,755,506	5,935,211	5,571,915	10,869,969	3,146,820	6,294,041
13 Other comprehensive income								
13.1 Gains/(losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
13.2 Fair value changes in FVOCI financial assets	(194,447)	(964,181)	(551,663)	(1,502,038)	(194,442)	(983,238)	(559,131)	(1,518,988)
13.3 Revaluation surplus on property, plant and equipment	-	-	-	-	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	58,334	289,254	165,499	450,611	58,333	294,972	167,739	455,696
14 Other comprehensive income for the year net of tax	(136,113)	(674,927)	(386,164)	(1,051,427)	(136,109)	(688,266)	(391,392)	(1,063,292)
15 Total comprehensive income for the year	5,176,915	9,622,288	2,369,342	4,883,784	5,435,806	10,181,703	2,755,428	5,230,749
Earnings per share (Shs)	0.98	1.90	0.51	1.09	1.03	2.00	0.58	1.16
Dividends per share (Shs)	-	1.10	-	0.20	-	1.10	-	0.20

	June 2021	December 2021	March 2022	June 2022
	Shs '000 Unaudited	Shs '000 Audited	Shs '000 Unaudited	Shs '000 Unaudited
III Other disclosures				
1) Non-performing loans and advances				
a) Gross non-performing loans and advances	18,346,771	19,817,024	19,498,844	19,792,505
b) Less: Interest in suspense	2,408,728	2,495,443	2,364,684	2,433,135
c) Total non-performing loans and advances	15,938,043	17,321,581	17,134,160	17,359,370
d) Less: loan loss provisions	10,592,395	12,908,863	12,489,879	13,112,358
e) Net non performing loans (c-d)	5,345,648	4,412,718	4,644,281	4,247,012
f) Discounted value of securities	3,291,141	3,326,376	3,538,558	3,158,189
g) Net NPLs (excess)/exposure (e-f)	2,054,507	1,086,342	1,105,723	1,088,823
2) Insider loans and advances				
a) Directors, shareholders and associates	35,725	35,033	34,658	34,293
b) Employees	9,817,299	9,884,384	9,848,419	9,926,528
c) Total insider loans and advances	9,853,024	9,919,417	9,883,077	9,960,821
3) Off Balance sheet items				
a) Letters of credit, guarantees, acceptances	45,011,575	41,450,324	47,712,808	71,804,441
b) Forwards, swaps and options	97,781,958	90,454,228	93,085,296	98,030,550
c) Other contingent liabilities	-	-	-	-
d) Total contingent liabilities	142,793,533	131,904,552	140,798,104	169,834,991
4) Capital strength				
a) Core capital	46,370,849	47,870,376	49,248,127	50,738,134
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000